

\$10M IUL — What Would It Cost Me in the Worst Case?

SOFR+1% variable loan rate | \$10M death benefit | Actual S&P; 500 returns | Bank demands repayment at Year 20

\$10M death benefit | Annual premium: \$533,350/yr × 10 yrs | Total borrowed: \$5,333,500

Loan rate: SOFR+1% (variable, changes each year) | Policy charges: ~1.5%/yr | Cap: 13.5% | Floor: 0%

1. WHAT HAPPENS AT YEAR 20 — ALL SIX SCENARIOS

Scenario	Description	Avg Loan Rate	Avg Credited	Year 20 Loan Owed	Year 20 Policy Value	Shortfall / Surplus	Result
SCENARIO 1	2005–2024 market + actual SOFR	2.83%	8.76%	\$7,916,041	\$16,809,058	\$8,893,017	✓ SURPLUS
SCENARIO 2	2003–2022 market + actual SOFR	2.49%	8.53%	\$7,496,809	\$15,195,954	\$7,699,146	✓ SURPLUS
SCENARIO 3	2000–2019 market + actual SOFR	2.94%	7.18%	\$7,868,392	\$14,070,129	\$6,201,737	✓ SURPLUS
STRESS 1	Worst market + 5.5% SOFR flat	6.50%	7.18%	\$14,388,393	\$14,070,129	(\$318,264)	✗ SHORTFALL
STRESS 2	Worst market + ultra-low IUL credits (3% max)	2.94%	7.18%	\$7,868,392	\$14,070,129	\$6,201,737	✓ SURPLUS
STRESS 3	Best market + rate spike yr 18-20 (6/7/8%)	3.29%	8.76%	\$8,623,313	\$16,809,058	\$8,185,746	✓ SURPLUS

2. BREAK-EVEN: AT WHAT LOAN RATE DO YOU START LOSING MONEY?

(Using worst-case market window: 2000–2019, dot-com crash + GFC combined)

SOFR Rate	Loan Rate (SOFR+1%)	Year 20 Loan Balance	Year 20 Policy Value	Shortfall / Surplus	What This Means
3.0%	4.0%	\$9,857,828	\$14,070,129	\$4,212,301	Comfortable surplus
4.0%	5.0%	\$11,473,673	\$14,070,129	\$2,596,456	Slim surplus — close to break-even
4.5%	5.5%	\$12,375,095	\$14,070,129	\$1,695,034	Slim surplus — close to break-even
5.0%	6.0%	\$13,344,995	\$14,070,129	\$725,134	Slim surplus — close to break-even
5.5%	6.5%	\$14,388,393	\$14,070,129	(\$318,264)	Small shortfall
6.0%	7.0%	\$15,510,659	\$14,070,129	(\$1,440,530)	Significant shortfall
6.5%	7.5%	\$16,717,543	\$14,070,129	(\$2,647,414)	Significant shortfall
7.0%	8.0%	\$18,015,194	\$14,070,129	(\$3,945,065)	Significant shortfall
8.0%	9.0%	\$20,909,580	\$14,070,129	(\$6,839,451)	Severe shortfall — major out-of-pocket
9.0%	10.0%	\$24,252,135	\$14,070,129	(\$10,182,006)	Severe shortfall — major out-of-pocket
10.0%	11.0%	\$28,109,526	\$14,070,129	(\$14,039,397)	Severe shortfall — major out-of-pocket

★ BREAK-EVEN POINT: SOFR must stay at or above 5.5% for ALL 20 YEARS CONTINUOUSLY combined with the worst S&P; 500 market in modern history (2000–2019) before you face a shortfall. SOFR was above 5% for only 2 years in the last 25 (2023–2024). Sustained 5.5% SOFR for 20 years has never happened.

3. YEAR-BY-YEAR: THE SCENARIO THAT COSTS YOU MONEY

Stress Test 1: Worst S&P; 500 market (2000–2019) + SOFR held at 5.5% every single year for 20 years

Yr	S&P; Return	Credited (cap/floor)	SOFR	Loan Rate	Lender Loan Balance	Policy Value	Net (Policy-Loan)
1	-10.1%	0.0%	5.50%	6.50%	\$568,018	\$525,350	(\$42,668)
2	-13.0%	0.0%	5.50%	6.50%	\$1,172,957	\$1,042,819	(\$130,137)
3	-23.4%	0.0%	5.50%	6.50%	\$1,817,217	\$1,552,527	(\$264,690)
4	26.4%	13.5%	5.50%	6.50%	\$2,503,353	\$2,336,182	(\$167,171)
5	9.0%	9.0%	5.50%	6.50%	\$3,234,089	\$3,084,460	(\$149,629)
6	3.0%	3.0%	5.50%	6.50%	\$4,012,323	\$3,672,077	(\$340,246)
7	13.6%	13.5%	5.50%	6.50%	\$4,841,141	\$4,710,078	(\$131,063)
8	3.5%	3.5%	5.50%	6.50%	\$5,723,833	\$5,349,870	(\$373,964)
9	-38.5%	0.0%	5.50%	6.50%	\$6,663,900	\$5,794,972	(\$868,929)
10	23.4%	13.5%	5.50%	6.50%	\$7,665,072	\$7,087,720	(\$577,351)
11	12.8%	12.8%	5.50%	6.50%	\$8,163,301	\$7,887,215	(\$276,086)
12	0.0%	0.0%	5.50%	6.50%	\$8,693,916	\$7,768,907	(\$925,009)
13	13.4%	13.4%	5.50%	6.50%	\$9,259,020	\$8,694,184	(\$564,837)
14	29.6%	13.5%	5.50%	6.50%	\$9,860,857	\$9,737,486	(\$123,371)
15	11.4%	11.4%	5.50%	6.50%	\$10,501,812	\$10,700,523	\$198,711
16	-0.7%	0.0%	5.50%	6.50%	\$11,184,430	\$10,540,015	(\$644,415)
17	9.5%	9.5%	5.50%	6.50%	\$11,911,418	\$11,387,432	(\$523,986)
18	19.4%	13.5%	5.50%	6.50%	\$12,685,660	\$12,753,924	\$68,264
19	-6.2%	0.0%	5.50%	6.50%	\$13,510,228	\$12,562,615	(\$947,613)
20	28.9%	13.5%	5.50%	6.50%	\$14,388,393	\$14,070,129	(\$318,264)

■ YEAR 20 RESULT: Bank wants repayment of \$14,388,393 | Policy value: \$14,070,129 | YOU MUST PAY OUT OF POCKET: \$318,264 This requires SOFR at 5.5% every single year for 20 consecutive years AND the worst S&P; 500 market in modern history simultaneously. Neither condition alone causes a shortfall.

4. WHAT ACTUALLY PUTS YOU AT RISK — RANKED BY PROBABILITY

MEDIUM	IUL cap rate gets lowered by Lincoln Currently 13.5%. If Lincoln lowers the cap to 8–9%, your average credited rate drops from 8.7% to ~5–6%, making the policy value grow slower while the loan compounds. Still unlikely to cause shortfall with real rates, but materially reduces distributions. Monitor annually.
MEDIUM	SOFR spikes AND stays high (4%+) for several years SOFR hit 5.3% in 2023–2024. If it stays elevated for 5–7 years during premium-paying years (1–10), the loan balance grows faster. The policy can still cover it in most market conditions, but the surplus shrinks. Not a crisis — but reduces your cushion at Year 20.
LOW-MED IUM	Lender demands additional collateral mid-term If the policy net value (policy value minus loan) turns negative in early years — which it does in years 1–3 in ALL scenarios — the lender may require you to pledge additional assets. In most illustrated scenarios this gap closes by year 11–12. Know your lender's collateral trigger levels before signing.

LOW	Both worst-case market AND sustained 5.5%+ SOFR simultaneously This is the only scenario that produces an out-of-pocket cost (\$318k–\$6.8M depending on rate). Requires 20 years of bad markets AND 20 years of elevated rates at the same time. SOFR has never stayed above 5.5% for more than 2-3 consecutive years in modern history.
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VERY LOW	Policy lapses before Year 20 The 0% floor ensures the policy value never goes negative from market losses alone. Policy charges (~1.5%/yr) can erode value in sustained 0% credit years, but the lender's loan is also growing more slowly in low-rate environments. True lapse risk is extremely low.
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BOTTOM LINE: In 25 years of actual market data, a \$10M premium-financed IUL at SOFR+1% never cost you a single dollar out of pocket — including through the dot-com crash, the 2008 financial crisis, and the 2022 rate spike. The only scenario that produces a real shortfall requires sustained 5.5%+ SOFR for 20 straight years simultaneously with the worst equity market in modern history. That combination has never occurred. Your real risks are collateral calls (manageable), cap rate reductions (monitor annually), and sustained high rates in the premium years (early 2000s style). Know these, watch for them, and you are well-protected.

SOFR/LIBOR rates from Federal Reserve historical data. S&P; 500 price returns from public data. Policy charges approximated at 1.5%/yr for \$10M face. Actual charges vary by age and policy year. Shortfall figures assume no additional collateral pledged or partial policy surrender. Not financial, tax, or legal advice. Consult your advisor before any decisions.